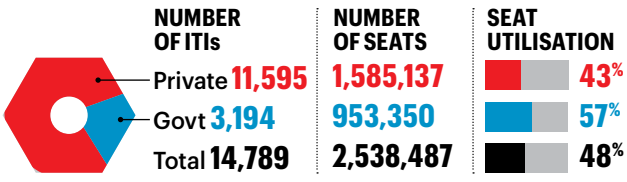


SEATS GO BEGGING

More than half the seats in ITIs remain vacant, though government institutes fare better than private ones

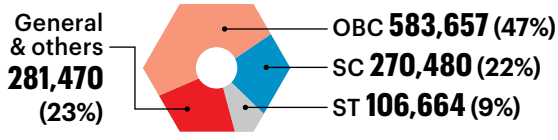


Source: NITI Aayog's 2023 report 'Transforming Industrial Training Institutes'; data as of Sept. 22, 2022; % rounded off

WHY IT MATTERS

Nearly 80 per cent of ITI students are from disadvantaged backgrounds

ENROLMENTS; SHARE IN TOTAL IN ()



Source: 'State of Working India 2026'; % rounded off

> **"What remains a mystery to me is why industry is not proactive. After all, who are we skilling for?"**
>
> **VINITA AGGARWAL**
> *Former executive member of the National Council for Vocational Education and Training (NCVET)*



The government is also changing its approach. "India's skilling mission is entering a more mature phase where training, from a standalone activity, is now seen as an ecosystem where skills are connected with employment, productivity, entrepreneurship and mobility," says the MSDE. One example is the Pradhan Mantri Skilling and Employability Transformation through Upgraded ITIs (PM-SETU) scheme, under which 1,000 government ITIs—200 hub institutions and 800 spokes—are proposed to be upgraded with an investment of Rs 60,000 crore. The difference, the ministry says, is that "industry participation is embedded into the model". In May this year, following an internal review, the Directorate General of Training also de-affiliated 611 ITIs that had remained non-operational and recorded zero admissions for four consecutive years between 2022 and 2025.

But upgrading a system with a weak foundation may not yield the desired results. Nor can the government alone solve India's skills challenge.

MISMATCH 2

INDIFFERENT INDUSTRY

Industry involvement is a prerequisite for defining the skills it needs, designing curricula along with ITIs, taking on apprentices and investing in upskilling its workers. However, only 7.7 per cent of Indian firms provide formal training to employees, according to the 2026 NITI Aayog working paper. NCVET's Aggarwal, too, urges industry to get more involved in skilling. "After all, who are we skilling for?" she asks. "The ministry and NCVET have made a lot of effort to bring industry onto the platform, but we don't get a proactive response."

The government's main lever to address this has been the National Apprenticeship Promotion Scheme (NAPS), launched in 2016 to provide on-the-job training to candidates aged 14 to 35 across sectors, allowing them to learn while they earn. Under the scheme, apprentices receive a monthly stipend ranging from Rs 6,800 to Rs 12,300, with the government reimbursing employers 25 per cent of the prescribed stipend, or up to Rs 1,500 per apprentice per month. But uptake remains low on both sides. Of the 195,939 establishments registered under NAPS, only 26 per cent, or 51,133, were active in FY25. On the apprentice side, 1.3 million candidates were registered, but only 75.3 per cent, or 985,000, entered training. Of these, just 25.4 per cent, or 251,000, completed their training in FY25, according to a February 2026 NITI Aayog report, 'Revitalising India's Apprenticeship Ecosystem'.

On the lower uptake among industry, B. Thiagarajan, chairman of the CII National Committee on Skills and managing director of Blue Star, says that while large industries face little difficulty, MSMEs struggle with compliances. As for the high dropout rate among apprentices, he says it is often because the exposure they gain during their apprenticeship helps them secure jobs elsewhere. This, he argues, should not necessarily be viewed negatively.

However, apprenticeship participation in India remains low compared with Germany, where apprentices and interns account for 2.7 per cent of the labour force. Part of the problem is a misunderstanding of what an apprenticeship is meant to achieve, says Manish Sabharwal, co-founder of TeamLease Services. "We treat apprenticeship like a job, and that's a mistake. An apprenticeship is a classroom," he says. It must be a classroom where candidates solve real problems on the shop floor, learn by observing other workers and develop the ability to work as part of a team.

The deeper issue, though, is financing: who should pay for skilling? "We have a financing failure in skill development," says Sabharwal, because employers have little fiscal incentive "to manufacture their own employees". Three risks, or what he calls "three holes in the bucket", make it difficult for employers to earn a return on their investment in training: